

Houthi-Saudi standoff raises oil price risks

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【メール原文】

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Daily Brief

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summary

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The Houthi-Saudi standoff remains below the threshold for an all-out war, however it, alongside other conflicts, is pushing Brent above \$100.

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As the US begins cracking down on transshipment, Mexico and Vietnam are the first likely targets.

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In Israel's upcoming October elections, the opposition will likely win power with a fragile coalition.

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With US policy toward the war in Ukraine more aligned with that of European allies and Kyiv, transatlantic relations are recovering.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, the EU, India, Israel, Mexico, Russia, Saudi Arabia, Ukraine, Vietnam, Yemen, trade, and oil.

the top line

MENA Crisis—Houthi strikes lift oil risks without triggering full war

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Yemen's Houthis launched several attacks on Saudi Arabia, which in turn responded with attacks on Yemen, escalating the conflict and increasing risk to Red Sea trade routes.

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This remains below the threshold of all-out war. Riyadh will likely continue to calibrate its response to avoid a major reentry into Yemen while restoring deterrence, relying on airstrikes, intelligence support, and greater use of Yemeni government-aligned forces for ground pressure (see note , 1 September).

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A compromise remains unlikely in 2026, as Riyadh continues to resist the Houthis' financial and operational demands.

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The most credible path to an all-out war scenario is a sharper shift, such as sustained strikes that materially damage Saudi energy infrastructure or a more aggressive Houthi effort to threaten traffic through Bab al-Mandeb.

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Energy supply risks will remain real but skew toward episodic disruption rather than sustained outages.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Oil, MENA Crisis—Chart of the day: Continued conflicts and rising China demand drive near-term oil stress

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One indicator of short-term physical oil market stress—the spread between Brent oil prices for immediate delivery and first futures—has spiked in the last week to levels not seen since April .

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Refined product markets also remain tight, with US diesel and jet fuel prices at or near record highs.

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Signs have emerged this week that Chinese oil demand may be recovering, as Chinese buyers submit higher bids for crude deliveries and domestic refiners export larger volumes of refined products.

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Meanwhile, the US-Iran stand-off and ongoing Russia-Ukraine and Saudi-Houthi strikes continue to put upward pressure on oil prices.

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EG has increased its basecase Brent price range to \$85 to \$105 per barrel, with all three conflicts set to simmer through year-end.

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We assign only 15% odds of a limited US-Iran deal, 10% odds of a Saudi-Houthi deal, and 10% odds of serious Russia-Ukraine ceasefire talks this year.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

Trade, US, Mexico, Vietnam—Mexico and Vietnam likely first targets in US transshipment crackdown

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In recent months, President Donald Trump's administration has put in place important elements of the framework needed to enforce a 40% penalty on the transshipment of Chinese goods established last year.

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Countries exporting large absolute volumes of China-linked goods, such as Mexico, and deep integration into Chinese manufacturing, such as Vietnam, will likely be the initial focus of enforcement.

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Rules of origin reform through the ongoing USMCA review poses a bigger long-term risk for companies with China-linked supply chains, as it could disqualify currently legitimate Chinese inputs from

preferential tariff treatment.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Israel—Opposition will likely win power with a fragile coalition

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The opposition bloc against Israeli Prime Minister Benjamin Netanyahu, likely to be led by former Israel Defense Forces Chief of Staff Gadi Eisenkot, remains ahead in EG's polling average and is the basecase to form the next government, but it is still short of a 61-seat majority.

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An opposition government would likely reduce near-term escalation risks with Iran by operating more cautiously under US constraints, while cooperating with Lebanon on Hezbollah disarmament and preserving Israel's ability to act against threats in southern Lebanon.

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Israel's economy would likely mitigate headwinds under an opposition government that improves ties with Europe, reduces sanctions risk, and shelves a judicial overhaul, though far-right resurgence and social strains would persist.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

US, EU, Russia—Transatlantic relations inch back from the precipice

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Despite the occasionally contradictory messaging around special envoys Jared Kushner and Steve Witkoff's recent trip to Russia, US policy toward the war in Ukraine is more aligned with that of European allies and Kyiv than at the beginning of Trump's second term.

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Trade and tech policy are currently the main flash points in transatlantic relations because of the mismatch in the US and European framings of recent fines against US tech firms and tariffs threatened in response.

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The risks of a US pullback from NATO and renewed threats against Greenland have declined, though both remain important potential points of friction if Trump grows more volatile in response to his weakening domestic position in the closing years of his term.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Ukraine—Wartime unity will protect Zelensky even as domestic pressures mount

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President Volodymyr Zelensky faces rising political pressure at home, with winter air strikes, corruption allegations, and renewed funding strains set to test the government through year-end.

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The wartime consensus will, however, shield Ukraine from a major political crisis while the war continues; regardless of how unpopular Zelensky becomes, impeachment, resignation, or elections

remain unlikely.

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Zelensky may pay a political price for wartime strains after the Russia-Ukraine war ends, as the public will likely demand a fresh, untainted face.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

eg in depth

US, India—US and India in no hurry to finalize trade deal: Sectoral deals on energy and defense, along with large Indian investments in the US, have reduced Washington's urgency to finalize a formal trade deal. Indian officials believe they can wait for better terms, as rupee depreciation has softened the impact of the current 10% tariff on Indian industry. The absence of a deal means that US access to India's heavily protected agricultural market and clarity on bilateral digital and data arrangements will remain unresolved. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Mexico—Sheinbaum will slow fiscal consolidation to protect priority spending: The 2027 budget targets a deficit of 3.9% of GDP—above the 3.5% path outlined in April—as the administration reduces the pace of its fiscal adjustment to protect priority spending and investment. Rising public debt—projected to reach 56.5% of GDP by 2031—will keep Mexico exposed to rating pressure, with Pemex financing needs and high interest costs leaving little room to accelerate consolidation. The budget's reliance on revenue collection is the main source of execution risk, with income-tax receipts needing to rebound 7.2% in real terms after underperforming in 2026. Read more here . Reach out to discuss: mexico@eurasiagroup.net .

Brazil—Supreme Court crisis favors Bolsonaro and will outlast elections: Brazil's Supreme Federal Court (STF) faces its worst crisis as corruption allegations against members of the court and deepening politicization further erode the institution's credibility. The crisis is set to escalate further until the election and will probably lead to disruptive changes, including an increasingly likely removal of justices. The crisis narrows President Luiz Inacio Lula da Silva's path to reclaim the narrative heading into the October election, favoring Senator Flavio Bolsonaro's bid. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Brazil—Cury will struggle to close name recognition gap: Augusto Cury and his party Avante's climb from 2% to 8% to 9% in first-round polling shows real demand for an alternative to Lula and Bolsonaro in Brazil's presidential elections, but the latest polls suggest his growth has stalled. His path to the runoff requires breaking the name-recognition barrier, rising to about 15% in first-round polling by mid-September, and Bolsonaro dropping to about 25%, with little TV time and resources. Cury is positioning himself as the market-friendly candidate, set to announce an economic advisor this week, a deliberate signal that he will blend fiscal conservatism and social progressivism. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Upcoming events:

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10 September: Data: Argentina CPI, US PPI and existing home sales. Central bank decision: Peru.

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11 September: Data: Brazil CPI, Japan PPI, Russia CPI and trade, US CPI, University of Michigan consumer sentiment, and federal budget balance; Central bank decision: Russia.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“I should get something out of it.”—Trump said, in the Republican midterm convention, of his suggestion to change the name of the Strait of Hormuz to the Trump Strait.

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